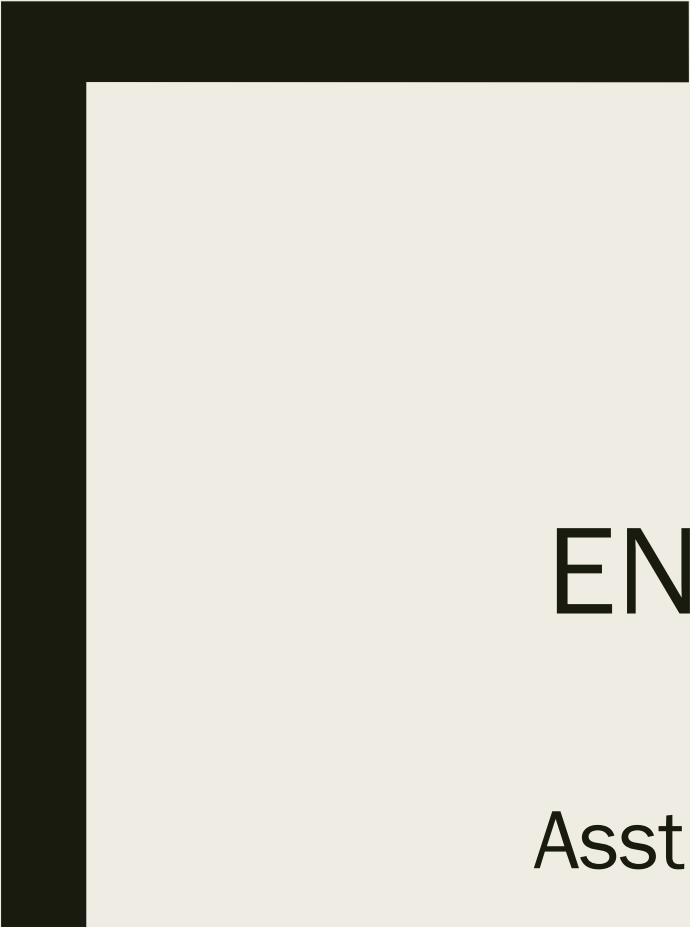
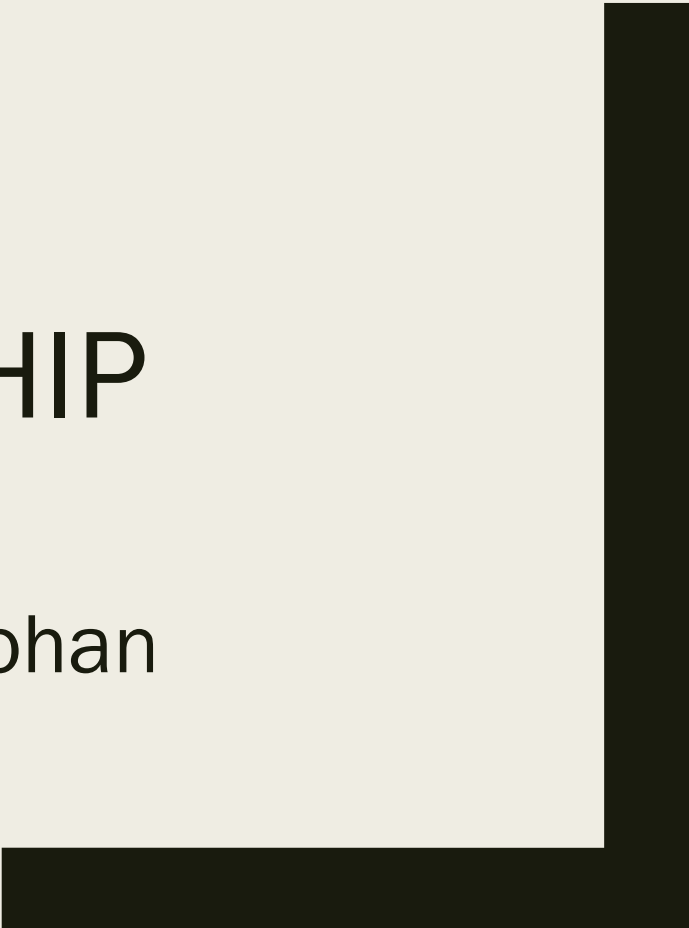




INTRODUCTION TO ENTREPRENEURSHIP

By
Asst.Prof. Pathompong Manohan



Entrepreneurship

The process of identifying, developing, and bringing a business opportunity to life, often involving the creation, organization, and management of a new venture. Entrepreneurs take on financial, strategic, and social risks to solve problems, meet market demands, or introduce innovations while aiming to generate profit or social value.

- Key elements of entrepreneurship include:
 - ***Innovation:*** Developing new products, services, or processes.
 - ***Risk-taking:*** Investing resources with no guaranteed success.
 - ***Value creation:*** Providing goods or services that address a need or opportunity.
 - ***Vision:*** Setting a clear goal and driving the initiative forward.
 - ***Adaptability:*** Navigating challenges and uncertainties with flexibility.

Entrepreneur's Goal

Profit maximization

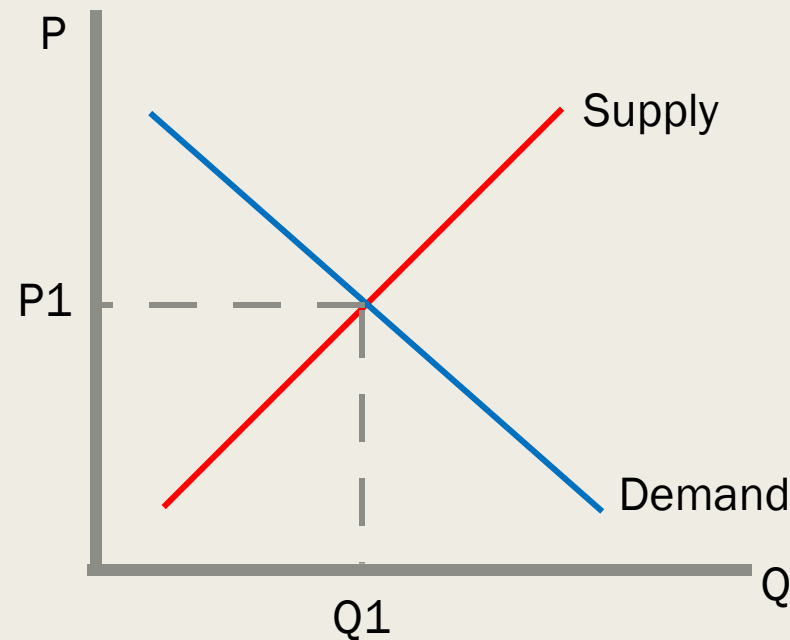
The primary goal of a business to achieve the highest possible financial return from its operations. It involves making decisions and allocating resources in a way that maximizes the difference between total revenue and total costs over a specific period.

- Key aspects of profit maximization include:
 - **Revenue growth:** *Increasing sales through pricing strategies, marketing, or expanding market share.*
 - **Cost efficiency:** *Reducing production, operational, or administrative costs without compromising quality.*
 - **Optimal resource utilization:** *Ensuring resources like labor, capital, and materials are used efficiently.*
 - **Strategic decision-making:** *Choosing projects or activities that yield the highest return on investment.*

Entrepreneur's Goal

Market clearing (Demand = Supply)

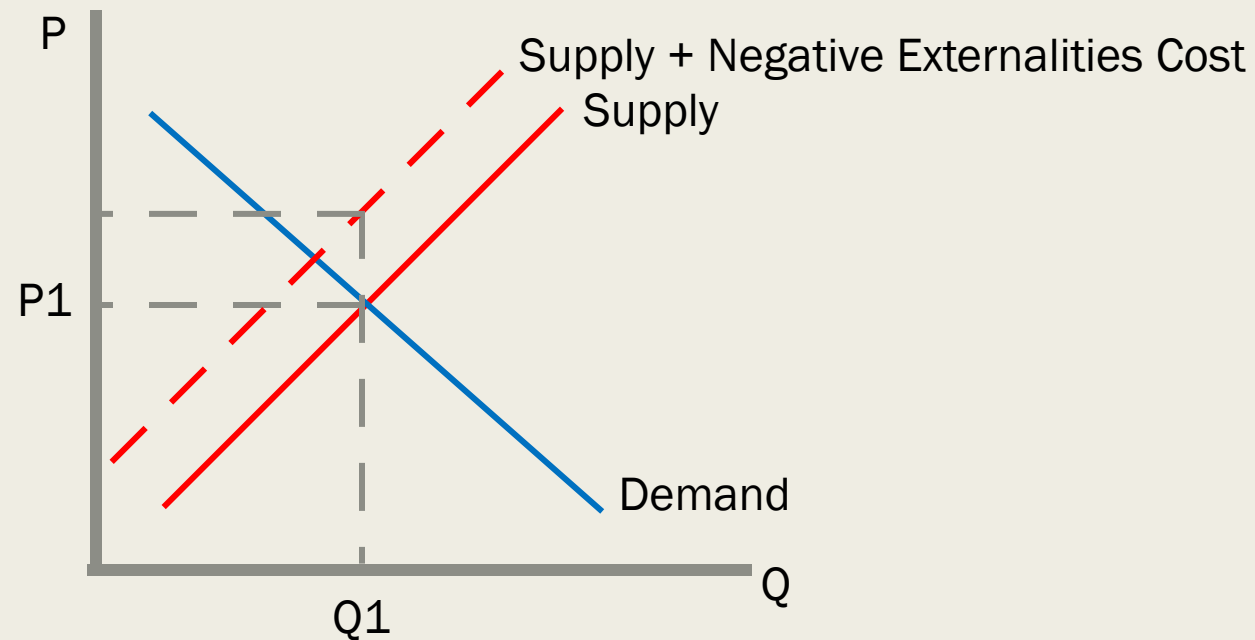
Economics refers to a situation where the quantity of goods or services supplied in a market is equal to the quantity demanded at the prevailing price. This balance eliminates any surplus (excess supply) or shortage (excess demand), ensuring an efficient allocation of resources.



Entrepreneur's Goal

The Negative Externalities Effect

In economics are the unintended side effects (costs or benefits) of an economic activity that affect third parties who are not directly involved in the activity. When these externalities impose costs on others, they are referred to as **external costs** or **negative externalities**.



Problems From Entrepreneurship Ignoring Extremities Effect

1. Environmental Degradation

- *Examples:* Deforestation, air and water pollution, carbon emissions.
- *Impact:* Climate change, loss of biodiversity, and health hazards for local communities.
- *Case Study:* Industrial pollution in the Ganges River affects millions who depend on it for drinking and agriculture.

2. Social Inequities

- *Examples:* Poor working conditions, child labor, and exploitation of local communities.
- *Impact:* Reduced quality of life, perpetuation of poverty, and social unrest.
- *Case Study:* Sweatshops in fast fashion contribute to poor labor standards while local artisans lose livelihoods.

Problems From Entrepreneurship Ignoring Externalities Effect

3. Economic Inefficiencies

- ***Examples:** Overproduction of harmful goods, underinvestment in sustainable alternatives.*
- ***Impact:** Widening economic disparities and unsustainable resource use.*
- ***Case Study:** Fossil fuel subsidies create an uneven playing field for renewable energy industries.*

4. Health Crises

- ***Examples:** Chemical waste affecting water supplies, fast food chains contributing to obesity epidemics.*
- ***Impact:** Increased public healthcare costs and reduced life expectancy.*
- ***Case Study:** Flint, Michigan water crisis due to cost-cutting measures in industrial water sourcing.*

Sustainable Development

The SDGs were established by the United Nations in 2015 as a universal call to action to end poverty, protect the planet, and ensure peace and prosperity for all by 2030.

The 17 Sustainable Development Goals



Social Entrepreneurship

- Social entrepreneurship is the process of identifying and solving social, cultural, or environmental problems through innovative and sustainable business practices. Unlike traditional entrepreneurship, its primary goal is to create a positive social impact rather than solely maximizing profits.

Characteristics of Social Entrepreneurship

Mission-Driven

- The primary focus is on addressing societal challenges such as poverty, education, healthcare, and environmental sustainability.

Innovative Approach

- Employs creative solutions to solve pressing social issues that traditional methods have failed to address.

Sustainability

- Combines social goals with a viable business model to ensure long-term impact without relying solely on donations or grants.

Characteristics of Social Entrepreneurship

Community Involvement

- Works closely with the affected communities to co-create solutions tailored to their specific needs.

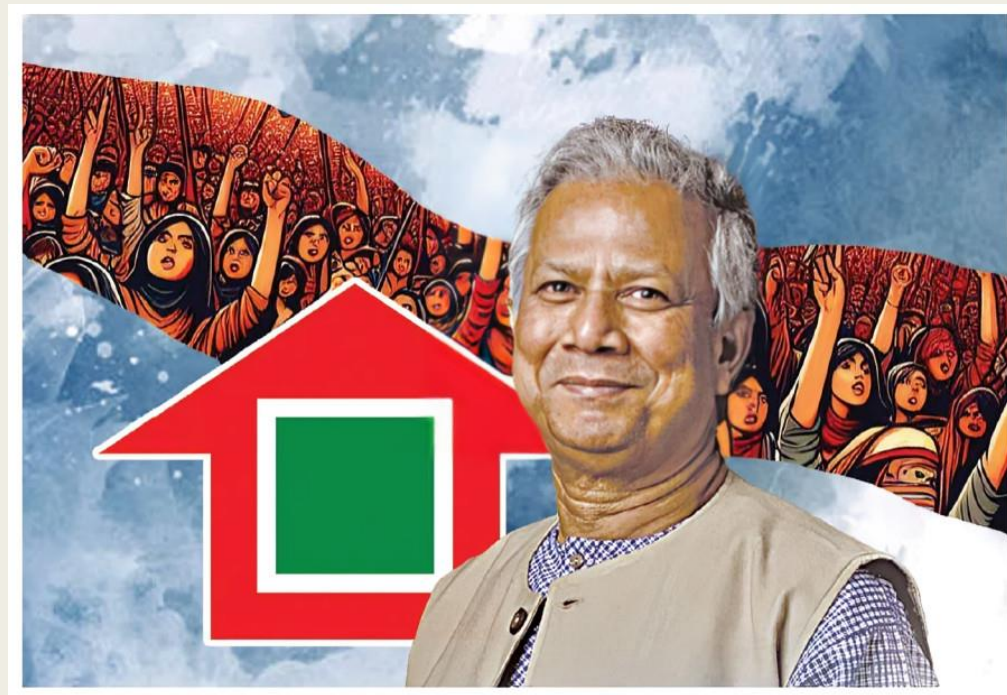
Measurable Impact

- Success is evaluated by the tangible social, environmental, or cultural improvements achieved, alongside financial performance.

Examples of Social Entrepreneurship

Grameen Bank (Bangladesh)

- Founded by Muhammad Yunus, it provides microloans to empower poor individuals, particularly women, to start small businesses

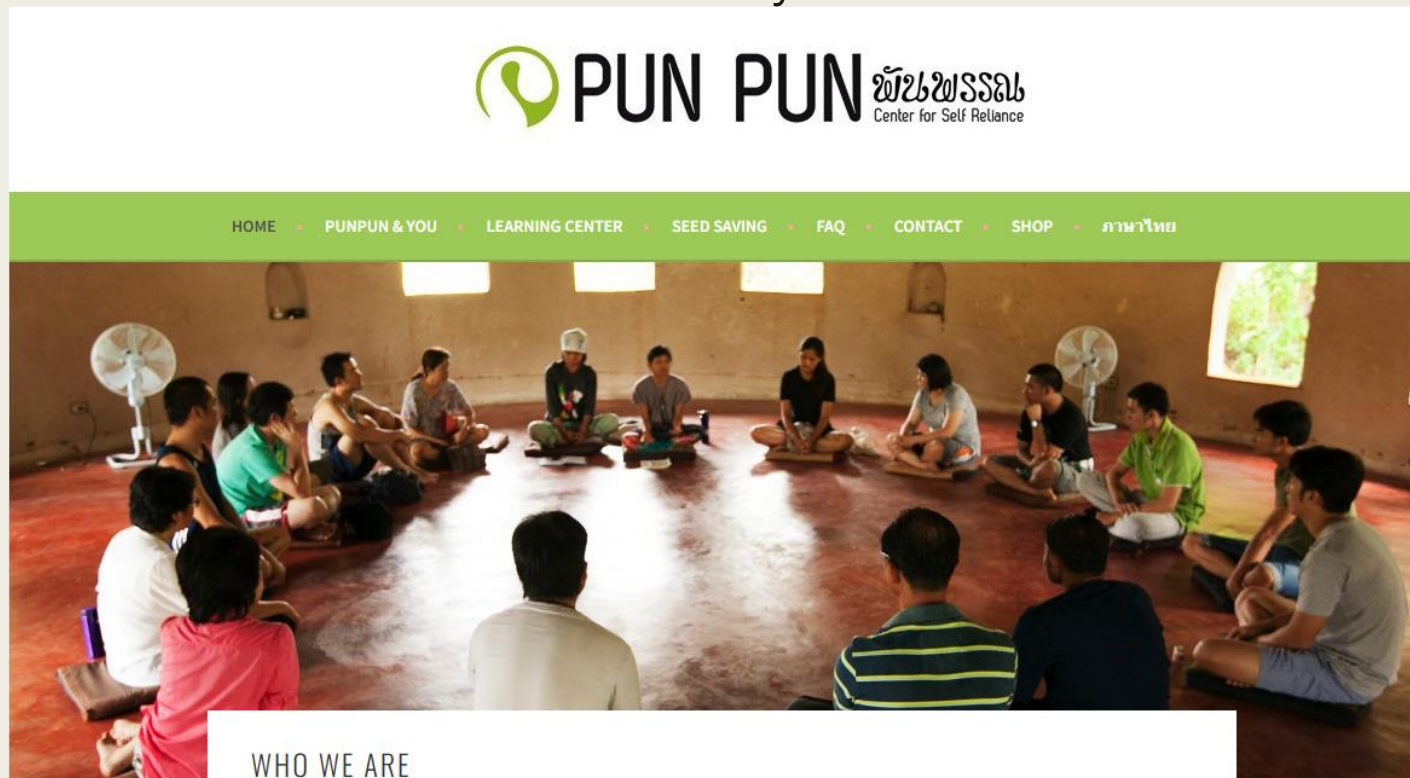


Source: <https://www.daily-sun.com/post/761951> (accessed 12/01/2025)

Examples of Social Entrepreneurship

Pun Pun Center for Self-Reliance (Thailand)

- Focuses on seed-saving, organic farming, and self-reliant living to empower local communities sustainably.



Source: http://www.punpunthailand.org/index027d.html?page_id=34 (accessed 12/01/2025)

Source: <https://chugacoi.wordpress.com/2020/09/20/life-is-easy-why-do-we-make-it-so-hard-jon-jandai/> (accessed 12/01/2025)

Examples of Social Entrepreneurship

Mae Kampong Village

- Mae Kampong is a small, picturesque village in Chiang Mai Province, Thailand, renowned as a model for sustainable tourism and community-based development. Nestled in the lush mountains, it has become a case study in balancing economic growth, environmental conservation, and cultural preservation.